FINANCIAL ACCOUNTING & REPORTING

Suggested Answers
March-April 2024

Answer to the Question#: 1(a):

The standard setting process:

- Study by staff of national requirements and practices
- Exchange of views with national standard setters
- Consultation with SAC as to whether the issue should be added to the lASB's agenda
- Formation of an advisory group with specialist interest and knowledge of the issue
- Discussion paper for public comment
- Exposure draft together with any dissenting opinions of IASB members (must be approved by at least nine of the fourteen members)
- Consideration of all comments received on exposure draft
- Public hearings about, and field tests of, the exposure draft
- Issue of the standard, together with any dissenting opinions of lASB members (must be approved by at least nine of the fourteen members)
- Publication of the standard

Answer to the Question#: 1(b):

Non-compliance with BFRS
BAS 1 allows non-compliance with a standard (or interpretation) only where management concludes that compliance would be so misleading as to conflict with the objectives of financial statements set out in BFRS Framework. However this is only where the relevant regulatory framework requires, or does not prohibit, such a departure.

The standard uses the phrase 'where management concludes' which may indicate that there is a margin for those preparing the financial statements to use this exception where they believe it is appropriate. However, BAS 1 talks about this coming about 'in extremely rare circumstances'. To all intents and purposes, these circumstances will never occur.

Inappropriate accounting policies or non-compliance are not rectified by disclosure of the policies adopted or by description in the notes to the financial statements.

BFRS 1 First-time Adoption of International Financial Reporting Standards grants limited exemptions from specific standards where the costs of complying would be likely to exceed the benefits to users.

Answer to the Question#: 1(c):

i) This is not a related party. A juinor manager is unlikely to be 'key management personnel' of Mint and which only 10 percent holding is unlikely to have significant influence.
ii) The daughter is a related party. The director is a related party as key management personnel. The daughter falls within the definition of 'close members of the family'.
iii) Chocolate is a related party as it is under the control of key management personnel.
iv) Ms. Butterscotch is a related party, as with 25% shareholding she is likely to exert significant influence. This will depend however, on who owns the remaining 75% holding.
v) If the director is only one director amongst many on the board of Sugar, and there are no other directors from Mint on the board of Sugar, then it is unlikely that there is common influence or control. One common director is also given as an example of IAS 24 of an instance where a related party relationship does not normally exist. Thus, there is probably no related party relationship in this case.
vi) The niece is not a sufficiently close relative of Mint's finance director for Cream to constitute a related party.

Answer to the Question#: 2:

BD Ltd
Statement of cash flows for the year ended 30 June 2022

	Tk.	Tk.
Cash flows from operating activities		
Cash generated from operations (Reconciliation note)	71,000	
Interest paid (Working note - 6)	(6,000)	
Tax paid (Working note - 2)	(3,000)	
Net cash from operating activities		62,000
Cash flows from investing activities		
Purchase of property, plant and equipment (Working note - 3)	(62,000)	
Proceeds from sale of property, plant and equipment	20,000	
Purchase of investments	(50,000)	
Net cash used in investing activities		(92,000)
Cash flows from financing activities		
Issues of ordinary shares (Working note - 4)	45,000	
Redemption of non-current interest-bearing borrowings	(10,000)	
Net cash used in financing activities		35,000
Net change in cash and cash equivalents		5,000
Cash and cash equivalents brought forward		10,000
Cash and cash equivalents carried forward		15,000

Reconciliation of profit before tax to net cash generated from operations for the year ended 30 June 2023

Profit before tax (Working note - 7)	46,000
Finance cost (Working note - 6)	6,000
Property, plant and equipment - depreciation charge (Working note - 1)	23,000
Profit on disposal of property, plant and equipment	(2,000)
Change in inventories (Working note - 5)	(1,000)
Change in trade and other receivables (Working note - 5)	(2,000)
Change in trade and other payables (Working note - 5)	3,000
Change in provision	(2,000)
Cash generated from operations	71,000

Workig notes:

(1) Propoerty, Plant and Equipment - Accumulated Depreciation

	Tk.		Tk.
Disposal (40,000 - 18,000)	22,000	B/f	69,000
C/f	70,000	Charge for the year	23,000
	92,000		92,000

(2) Tax Paid

	Tk.		Tk.
Cash	3,000	B/f	3,000
C/f	7,000	Charge for the year	7,000
	10,000		10,000

(3) Propoerty, Plant and Equipment - cost of valuation

	Tk.		Tk.
B/f	311,000	Disposal	40,000
Addition	62,000	C/f	333,000
	373,000		373,000

(4) Share capital and premium

	Tk.		Tk.
		B/f (50,000 +10,000)	60,000
		Accumulated profit/loss (bonus issue) (50,000 / 10)	5,000
C/f (95,000 +15,000)	110,000	Cash	45,000
	110,000		110,000

(5) Changes in current assets and liabilities

Inventories	(12,000 - 11,000)	(1,000)
Receivables	(29,000 - 27,000)	(2,000)
Payables	(27,000 - 5,000 - 19,000)	3,000

(6) Finance cost
Tk. 50,000 x 12%
= Tk. 6,000

(7) Accumulated profit/loss

	Tk.		Tk.
Bous issue	5,000	B/f	115,000
Income tax	7,000	Net profit for the year	46,000
C/f	149,000		
	161,000		161,000

Answer to the Question#: 3(a):

(i) Owner Occupied Properties:
Owner-occupied property is property held (by the owner or by the lessee as a right-of-use asset) for use in the production or supply of goods or services or for administrative purposes in contrast to the Investment property which is held to earn rentals or for capital appreciation or both. Here, 1st Floor is the Owner-Occupied Properties as Dhaka Trade Center will use this for their own.

(ii) Investment Properties:
Investment property is property (land or a building or part of a building or both) held (by the owner or by the lessee under a finance lease) to earn rentals or for capital appreciation or both. This is in contrast to the Owner-occupied property is property which is held for use in the production or supply of goods or services or for administrative purposes. Here, 2nd to 12th Floors is the Investment property as Dhaka Trade Center will rent it to other legal entities, company owned by the ABG Group, though.

Answer to the Question#: 3(b):

(i) Owner Occupied Properties:

The method of accounting for Owner Occupied Properties is the Cost model.
Owner Occupied Properties is initially recognized at Cost in accordance with the cost model as set out in IAS 16 Property, Plant and Equipment and subsequently at cost less accumulated depreciation and less accumulated impairment losses.

(ii) Investment Properties:

Investment properties are initially measured at cost and, with some exceptions, may be subsequently measured using a cost model or fair value model, with changes in the fair value under the fair value model being recognised in profit or loss.

Initial measurement

Investment property is initially measured at cost, including transaction costs. Such cost should not include start-up costs, abnormal waste, or initial operating losses incurred before the investment property achieves the planned level of occupancy.

Measurement subsequent to initial recognition

IAS 40 permits entities to choose between:

- a fair value model, and
- a cost model.

Therefore, there are alternatives method which could be applied. However, one method must be adopted for all of an entity's investment property. Change is permitted only if this results in a more appropriate presentation. IAS 40 notes that this is highly unlikely for a change from a fair value model to a cost model.

Fair value model

Investment property is remeasured at fair value, which is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Gains or losses arising from changes in the fair value of investment property must be included in net profit or loss for the period in which it arises. [IAS 40.35]

Fair value should reflect the actual market state and circumstances as of the balance sheet date.

Cost model

After initial recognition, investment property is accounted for in accordance with the cost model as set out in IAS 16 Property, Plant and Equipment – cost less accumulated depreciation and less accumulated impairment losses.

Answer to the Question#: 3(c):

If the owner uses part of the property for its own (as Dhaka Trade Center Limited use 1st Floor of 10,000 square feet), and part to earn rentals or for capital appreciation, [as Dhaka Trade Center Limited will allow other companies owned by the ABG Group to use 2nd Floor to 12 Floor (each floor of 10,000 square feet)] and the portions can be sold or leased out separately. The part that is rented out is investment property while the part used by the owner is Owner-Occupied Properties. They (Owner-Occupied properties & Investment Properties) are to account for separately based on classification of properties; Owner-Occupied properties under IAS 16 & Investment Properties under IAS 40.

Answer to the Question#: 3(d):

(Journal Entries to record the share transfer)

Particulars	Entity	Journal Entries	AMT in BDT (Debit)	AMT in BDT (Credit)	Remarks
Recording Shares Sale	Union Group Book	DR. Loss on Sale of Investment in Dhaka Trade Center Limited	1,000 lac		Recording the sale of shares in Dhaka Trade Center Limited
		CR. Investment in Dhaka Trade Center Limited		1,000 lac	
Closing entries	Union Group Book	DR. Profit & Loss Account	1,000 lac		Closing entries of Loss on Sale of Investment in Dhaka Trade Center Limited
		CR. Loss on Sale of Investment in Dhaka Trade Center Limited		1,000 lac	

Recording of Share Purchase cost (stamp duties, RJSC Fees etc.)	ABG Group	DR. Investment in Dhaka Trade Center Limited	125 Lac		Recording stamp duties, RJSC Fees etc. incurred to execute the share transfer
		CR. Bank A/C		125 Lac	
Recording of gain on Share Purchase	ABG Group	DR. Investment in Dhaka Trade Center Limited	875 lac		BDT 875 lac net gain (Dhaka Trade Center Limited fair Value of Net-worth of BDT 1000 lac less cost of acquisition BDT 125 lac)
		CR. Gain on acquisition of Dhaka Trade Center Limited		875 lac	
Recording of DTL on gain on Share Purchase	ABG Group	DR. Income Tax expense	175 lac		For recording DTL at a rate of 20% on gain of BDT 875 lac (assuming levied Tax rate is 20%)
		CR. Deferred Tax Liabilities		175 lac	
Closing Entries	ABG Group	DR. Profit & Loss Account	175 lac		Closing entries of Loss on Income tax expense for gain on Share Purchase
		CR. Income Tax Expense		175 lac	

Answer to the Question#: 3(e):

(Journal Entries to record the Intercompany Receivable/Payable)

Particulars	Entity	Journal Entries	AMT in BDT (Debit)	AMT in BDT (Credit)	Remarks
Recording of Intercompany Receivable write off	Z Gen Mobile Ltd	DR. Loss on write of Intercompany Receivable	2700 lac		Recording the write off of Intercompany Receivable from Dhaka Trade Center Ltd
		CR. Intercompany Receivable (Dhaka Trade Center Limited)	2700 lac		
Closing entries	Z Gen Mobile Ltd	DR. Profit & Loss Account	2700 lac		Closing entries of Loss on Intercompany Receivable from Dhaka Trade Center Limited write off
		DR. Loss on write of Intercompany Receivable		2700 lac	
Recording of Intercompany Payable write off	Dhaka Trade Center	DR. Intercompany Payable (Z Gen Mobile Ltd)	2700 lac		Recording the write off of Intercompany Payable to Z Gen Mobile Ltd
		CR. Profit & Loss Account (Gain)		2700 lac	

Closing entries	Dhaka Trade Center	DR. Profit & Loss Account (Gain)	2700 lac		Recording the write off of Intercompany Payable to Z Gen Mobile Ltd
		CR. Profit & Loss Account		2700 lac	
Tax Expenses	Dhaka Trade Center	DR. Income Tax Expenses	540 lac		Recording the tax expenses of 540 lac (assuming 20% leviable tax on gain of BDT 2700 lac)
		CR. Income Tax Payable		540 lac	
Closing Entries	Dhaka Trade Center Ltd	DR. Profit & Loss Account	540 lac		Closing entries of Gain on Income tax expense for write off of Intercompany payable.
		DR. Income Tax Expenses		540 lac	

Answer to the Question#: 4(a):

Airtel Bangladesh Limited requires consulting/comply to IFRS 16 "Lease" and IFRIC 4 Determining whether an arrangement contains a lease."

The following issues (any of the following conditions must met) need to be considered to assess and determine whether arrangement conveys a right to capacity of the asset:

1. the purchaser in the arrangement has the ability or right to operate the asset or direct others to operate the asset (while obtaining more than an insignificant amount of the output of the asset)

2. the purchaser has the ability or right to control physical access to the asset (while obtaining more than an insignificant amount of the output of the asset)

3. there is only a remote possibility that parties other than the purchaser will take more than an insignificant amount of the output of the asset and the price that the purchaser will pay is neither fixed per unit of output nor equal to the current market price at the time of delivery.

Answer to the Question#: 4(b):

Journal Entries

Particulars	**Debit**	**Credit**	**Remarks**
Financial Asset	80 000		Purchase of loan for cash
Bank		80 000	
Financial Asset	7 840		Recognition of interest income on amortised cost using the credit-adjusted effective interest rate (9.8% x BDT80,000)
Interest income		7 840	
Bank	10000		Receipt of "interest" (coupon) payments
Financial Asset		10000	
Impairments	8 768		Only life-time expected credit losses on purchased credit-impaired assets.
Expected credit loss allowance		8 768	

Workings
Using expected Cash flows:
FV = BDT 100 000 x 70%
Pmt = BDT10 000 N = 4 PV = (BDT 80 000)
Therefore i (credit-adjusted effective interest rate) = 9.80% (rounded)

Calculation of expected credit-loss allowance at 31 December 2019
Expected change in cash-flows from initial recognition:
FV = 100 000 x 5% (expectation that cash flows will decrease from 70% to 65%)

Pmt = BDT2 000 (expectation that interest payments will decrease from BDT 10 000 to BDT 8 000) N = 3 i = 9.8% PV = BDT8768

Answer to the Question#: 4(c):

An example would be a liability that was recognised by the operator of a ruppur nuclear power plant for costs that it expects to incur in the future when the plant is shut down (decommissioned). The interpretation addresses subsequent changes to the amount of the liability that may arise from
(a) a revision in the timing or amount of the estimated decommissioning or restoration costs or from (b) a change in the current market-based discount rate.

IAS 37 requires the amount recognised as a provision to be the best estimate of the expenditure required to settle the obligation at the balance sheet date. This is measured at its present value, which IFRIC 1 confirms should be measured using a current market-based discount rate. The Interpretation deals with three kinds of change in an existing liability for such costs.

The two main kinds of change dealt with in the Interpretation are those that arise from:
(a) the revision of estimated outflows of resources embodying economic benefits. For example, the estimated costs of decommissioning a ruppur nuclear power plant may vary significantly both in timing and amount.
(b) revisions to the current market-based discount rate.

Most entities account for their property, plant and equipment using the cost model. Where this is so, these changes are required to be capitalised as part of the cost of the item and depreciated prospectively over the remaining life of the item to which they relate. This is consistent with the treatment under IAS 16 of other changes in estimate relating to property, plant and equipment.

Answer to the Question#: 5(a):

Limra Industries Balance Sheet December 31, 2023

Assets	Tk.	Liabilities and stockholders' equity	Tk.
Cash	50,000	Accounts payable	420,000
Marketable securities	15,000	Accruals	60,000
Accounts receivable (10% of sales)	300,000	Other current liabilities	30,000
Inventories	360,000	Total current liabilities	410,000
Total current assets	725,000	Long-term debt	350,000
			860,000
Net fixed assets	658,000	Total liabilities	
Total assets		Common stock	200,000
		Retained earnings	270,000
		Total liabilities and stockholders' equity	470,000
		External funds required	53,000
		Total liabilities & stockholders' equity	
	1,383,000		Tk.1,383,000

(1) Beginning gross fixed assets	Tk. 500,000
Plus: Fixed asset outlays	90,000
Less: Depreciation expense	(32,000)
Ending net fixed assets	Tk. 858,000
(2) Beginning of year retained earnings.	Tk. 220,000
Plus: Net profit after taxes	
(4% of Tk.3,000,000) 0.04)	120,000
Less: Dividends paid	(70,000)
End of year retained earnings	Tk.270,000
(3) Total assets	Tk. 1,383,000
Less: Total liabilities and equity	1.330,000
External funds required	Tk. 53,000

Answer to the Question#: 5(b):

The finance manager should arrange a credit line of at least Tk. 53,000. of course, if financing cannot be obtained, one or more of the constraints may be changed.

Answer to the Question#: 5(c):

If planned dividends for next year were reduced to Tk. 17,000 or less, Limra would not need additional financing. Reducing the dividend would allow the firm to retain more cash to cover the growth in other asset accounts.

Answer to the Question#: 6(a):

Consolidated statement of profit or loss for the year ended 31 December 2023

Continuing operation	Tk.
Revenue (note 2)	2,322,700
Cost of sales (note 2)	(1,410,150)
Gross profit	912,550
Distribution costs (note 2)	(306,600)
Administrative expenses (note 2)	(246,150)
Profit before tax	359,800
Income tax expense (note 2)	(123,750)
Profit for the year from continuing operations	236,050
Discontinued operations	
Profit for the year from discontinued operations (Tk. 10,300 (note 3) + Tk. 79,060 (note 4))	89,360
Profit for the year	325,410
Profit attributed to:	
Owners of X Ltd.	313,952
Non-controlling interest (note 5)	11,458
	325,410

Consolidated statement of changes in equity for the year ended 31 December 2023 (extracts)

	Attributable to owners of X Ltd. Retained Earnings	Non-controlling interest
	Tk.	Tk.
Balance brought forward (note 6) + (note 7)	629,000	30,000
Total comprehensive income for the year	313,952	11,458
Added on acquisition of subsidiary (note 8)	-	107,397
Eliminated on disposal of subsidiary (note 4)	-	(30,060)
Dividend paid on ordinary shares (20% x 10,000)	(50,000)	(2,000)
Balance carried forward	892,952	116,795

Non-controlling interest carried forward: proof Z Ltd.	Tk.
Net assets at 1 January 2023	280,000
Profit for year ended 31 December 2023	53,700
	333,700
Non-controlling interest (35%)	116,795

Answer to the Question#: 6(b):

Calculation of profit in individual accounts of X Ltd.

Sales proceeds	212,000
Less: cost	(175,000)
Profit	37,000

The different calculation of profit on disposal reflect the different way in which the subsidiary (Y Ltd) is accounted for in the individual and consolidated accounts.

In the individual statement of financial position of X Ltd, Y Ltd is carried at cost of Tk. 175,000. The profit on disposal is therefore the sale proceeds less this cost.

In the consolidated financial statements, the cost of Y Ltd is replaced with its underlying net assets and with goodwill acquired in the business combination. The profit on disposal is therefore based on sale proceeds less the percentage of net assets being sold (here 80%) less the unimpaired goodwill which is being sold in full (as it only ever related to the 80% share of net assets acquired).

Answer to the Question#: 6(c):

Application of control and ownership ideas

Control

Up to 1 July 2023 X Ltd owns 80% of Y Ltd and therefore controls it. So the consolidated statement of profit or loss should include 100% of Y Ltd's profits up to that date.

After 1 July 2023 X Ltd no longer controls Y Ltd. Its results should be excluded from the consolidated statement of profit or loss for the last six months of the year and also from the consolidated statement of financial position at the year end.

This treatment reflects the fact that once Y Ltd has been sold its resources are no longer under group control.

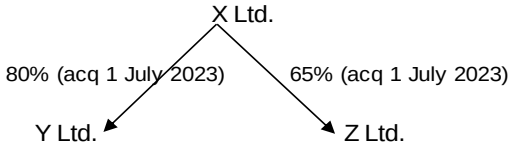
Ownership

For the first six months of the year 100% of Y Ltd's profits are included in the consolidated statement of profit or loss. However, 20% of its profits are owned by the non-controlling interest and this has to be deducted in arriving at the group's share of profit (Tk. 20,600 x6/12 × 20%).

When the disposal occurs the group is selling its ownership interest in the net assets and the associated goodwill. Therefore the group profit on disposal is calculated from the point of view of ownership.

Working note:

(1) Group structure



(2) Consolidated schedule

	X Ltd.	Z Ltd.	Consolidated
	Tk.	Tk.	Tk.
Revenue	1,926,000	396,200	2,322,200
Cost of sales	(1,207,200)	(202,950)	(1,410,150)
Distribution cost	(207,500)	(99,100)	(306,600)
Admin exp	(192,600)	(53,550)	(246,150)
Tax	(110,000)	(13,750)	(123,750)
Profit after tax		26,850	

(3) Profit for year to disposal

	Tk.
Profit after tax of Y Ltd.	20,600
x 6/12	10,300

(4) Profit on disposal of Y Ltd.

		Tk.	Tk.
Sales proceeds			212,000
Less:	Carrying amount of goodwill at date of disposal:		
	Consideration transferred on acquisition	175,000	
	Non-controlling interest at acquisition (187,000 x 20%)	37,400	
	Less: Net assets at acquisition	(187,000)	
	Goodwill at acquisition	25,400	
	Less: impairment to date	(12,700)	
			(12,700)
Less:	Carrying amount of net assets at disposal:		
	Net assets at 1 January 2023	150,000	
	Profit to 1 July 2023 (note 3)	10,300	
	Dividend paid	(10,000)	
			(150,300)
Add back: Non-controlling interest in net assets (150,300 x 20%)			30,060
Profit on disposal			79,060

(5) Non-controlling interest in year

	Tk.
Y Ltd (20% x 10,300 (Note 3))	2,060
Z Ltd (35% x 26,850 (note 2)	9,398
	11,458

(6) Retained earnings b/f

	Tk.
X Ltd.	671,300
Y Ltd. (80% x (50,000 - (187,000 - 100,000)))	(29,600)
Goodwill impairment to 31 December 2022	(12,700)
	629,000

(7) Non-controlling interest b/f

	Tk.
Y Ltd. (150,000 x 20%)	30,000

(8) Non-controlling interest added on acquisition of subsidiary

	Tk.
Z Ltd ((280,000 + 26,850 (Note 2)) x 35%)	107,397

---The End---